Noah Sottile

DSIM-518

Project 1 – Coffee Shop Innovation

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Focus 1

We have just inherited our late grandfather's coffee shop – The Broadway Café. Opened and established in downtown Jacksonville, FL in 1952, our grandfather ran the shop with a loyal customer base and top-quality products including but not limited to coffee, tea, pastries and sandwiches. Unfortunately, over the last couple of decades, our beloved coffee shop has fallen behind. The information and technology age has surpassed us, as we still operate as if we were in the mid-20th century. Coffee chains such as Starbucks and Dunkin have taken over our industry, and our lack of innovation and adaptability has put our shop and its employees in a vulnerable state. That's where we begin, with a very simple but decisive mission: catch up.

Vision: To usher the Broadway Café into the information and technology era and bring it into the 21st century as a mainstay coffee shop/lounge in downtown Jacksonville.

Mission: Use technology and analytics to create a modern coffee shop that integrates good coffee/food products with an advanced atmosphere that allows customers to quickly service appetite and work/hobby related events.

The first step in our mission to modernize the Broadway café is to combine efforts with Chamblins Uptown bookstore in downtown Jacksonville. The owner Ron Chamblin has agreed to partner with us to reintroduce a quality café service while modernizing his own café/bookstore that has been open since 2008 (est. 1976). Chamblin's already has a full bookstore, café section and Wi-Fi. The plan is to innovate the café portion of the shop with new kiosks operated on menus that run off of Microsoft Windows. Our menus, services and regular customers will all be tracked and transferred using this system as well.

In addition to the kiosks and a Microsoft-based platform, we will also install USB-C outlets across the shop at each roundtable in the dining area. With Wi-Fi and charger ports, customers will be able to enjoy their meals while operating on laptops, phones, iPad, etc.

Regarding employees, we will introduce the ADP management services which will operate payroll, keep track of paid-time off, and generate work schedules for the employees. No more notepads and memories keeping track of who works when and how we get paid. There will also be an employee designated break room in the back for workers to snack, chat and decompress. Breaks will range from 2-3 a shift and 10-15 minutes each. With happy employees and a technology-based workforce application in ADP, production should be smooth.

Lastly, we will create a Broadway café/Chamblins Bookstore website (URL). On this website, you can find the location/address, menus, books and marketing deals. Marketing deals will run Monday through Friday during downtime for the shop. Deals will include coffee and pastry meals, sandwiches and tea combos and much more that will also integrate purchases of books with café products. In addition to the new website and marketing prospects, we will also place two flat screen televisions in the café with cable to keep idle customers busy and entertained. A café couch and beanbags will also be placed around the café dining area for better comfort and relaxation.

Investors will include Ron Chamblin, an SBA loan of 30,00$ and an MCA cash advance of 5,000$-10,000$. The SBA and MCA loans will be easy to pay back with credit and debit sales. With a renovated café and the competitive advantage of quality products and community-based service, the shop should be able to cover these loans in a year or two max. The DIA (Downtown Investment Authority) will also be a reliable investment as they look to encourage the restructure and inclusion of downtown businesses. Employees will also be encouraged to invest in the café

as well. For every 1,000$ an employee invest, they will retain 0.75% of company sales. Employee investments can be denied by the café in a situation where employee profit exceeds the shops' benefit.

Revenue goals would be placed at a 30% increase in year 1 with a 5% expectation of an increase for the years that follow. As sales grow, expenses will as well as we expand both our menu and bookstore selection. As mentioned, equity would belong mostly to Ron Chamblin and the café shop but could be loaned out to employees upon investment. Loans would be placed on the yearly liability portion of statements with their yearly loan payments as well to keep track of the loan status.

In conclusion, under this strategy the Broadway Café will be renovated into a modern hang-out hub with quality food, service and entertainment. With kiosks, charger ports and Wi-Fi, the café will be a more convenient location to lounge. Televisions will supply additional entertainment, while marketing deals and a café website will bring in even more customers and anchor the regulars as well. With a new Microsoft platform and ADP management services, every detail about the company and its employees will be tracked through technology. With our new plan, the Broadway Café has become a unique coffee shop/bookstore hybrid that commands the downtown Jacksonville lounge scene.

Focus 2 – Porter's Five Forces

1. Competitive Rivalry

- Companies like Starbucks and Dunkin taking over the coffee/lounge industry
- Community first initiatives to promote loyal customer base in Jacksonville, something chains can't do
- Lower prices as a small business should encourage customers (Starbucks cup can be $7-12$)
- Embrace the bookstore/lounge environment that separates us from the average coffee shop/business

2. Buyer Power

- Customers can easily decide to switch to other coffee shops/chains
- Large potential customer base due to popularity of coffee/tea/pastries
- Maintain reasonable prices with high quality product
- Offer weekly deals with coffee pastry and sandwich beverage combos

3. Threat of New Entry

- New businesses in growing downtown Jax
- New Jaguars Stadium w/ coffee shops
- Establish loyal customer base with reliable service to dissuade new businesses
- Grow Broadway Café and potentially expand locations to establish stronghold in downtown Jax
- Establish agreement or business relationship with the Jacksonville Jaguars

4. Threat of Substitutes

- Homemade Coffee/Tea
- Diners and Restaurants
- Add coffee beans and tea bags for sale
- Offer coffee makers and tea kettles for sale
- Create and continue quick and affordable service with kiosks and weekly deals

5. Supplier Power

- Reliance on Chamblins for supplies
- Create more supplier relationships with distributors like Amavida and Temecula

The Broadway Café has entered a highly competitive environment with multiple chain rivals and incoming businesses. Many forces work against the Broadway Café, and it is up to us to adapt to these forces. Competitive rivalry is high, with coffee chains like Starbucks and Dunkin dominating the coffee/tea industry. With Starbucks moving in a few blocks away, we need to utilize our customer and community loyalty to counteract their popularity. Keeping lower prices and embracing our hybrid atmosphere should make us unique to the competition and encourage customers to continue visiting our café. Buyer power is moderately high as well as the forementioned customers can easily go right down the road to Starbucks and buy their coffee. However, just about everyone in the world drinks coffee/tea, so the customer base is fairly large and can endure some customers choosing the alternative. The threat of new entry and substitutes are both moderate risks. Businesses are coming into downtown with the DIA backing them, which creates more competition for the Broadway Café. Also, with the new Jaguars stadium, chances are there will be new businesses both in and out of the stadium and tailgate areas. If we can establish ourselves as a top coffee/lounge location in downtown, we can utilize that to form a relationship with the Jacksonville Jaguars to further cement our standing in the community. Once we have a foundation in downtown Jax, we can then expand and begin to dominate the local area. In addition to new businesses and chain establishments, there is also the threat of customers making their own beverages and snacks. To counter this loss of sales, we should begin selling our own coffee beans, tea bags and bread loafs. That way, our customers can still save money making their own items while still remaining loyal spenders at the café. Diners and restaurants are also a concern, but our quick service and affordable deals should keep them at bay. Lastly, the risk of supplier power is fairly low. We may rely on Chamblins for some supplies, but the amount of distribution for coffee, tea bags and poultry is high. This should not be much of a

problem as long as we maintain a supply chain and positive relationship with high-end distributors.

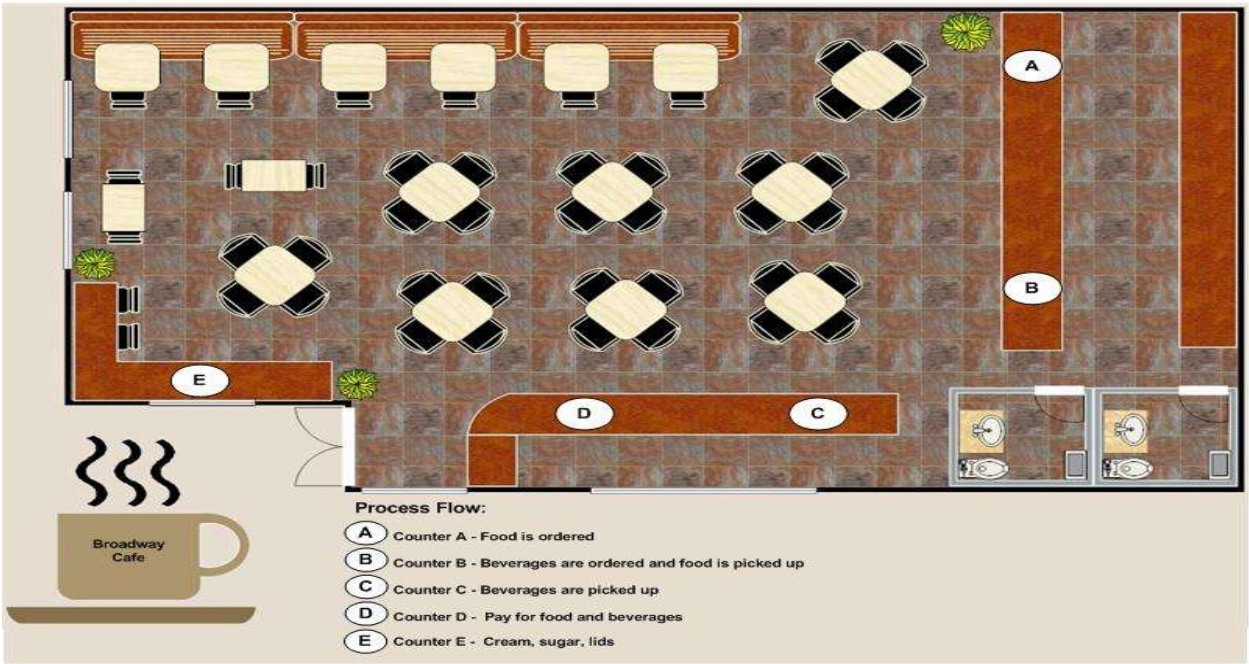
Porter's Three Generic Strategies

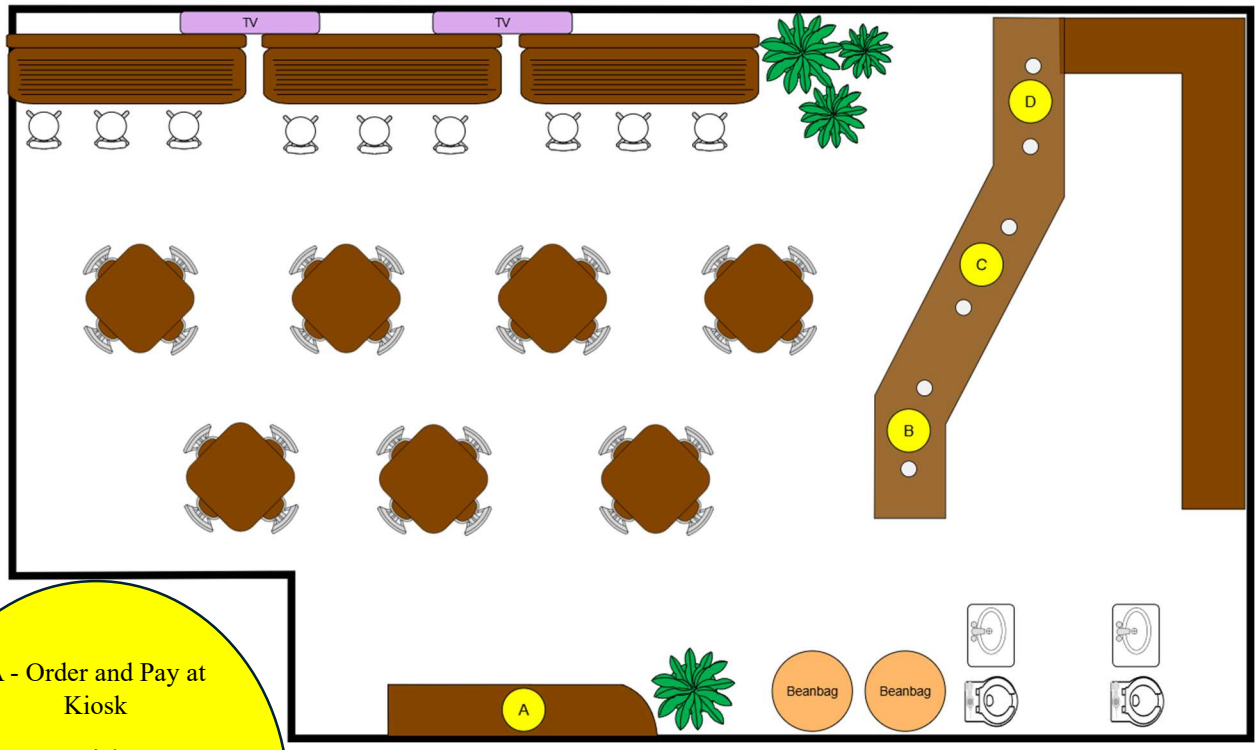
The Broadway Café will use a differentiation strategy to separate from the industry average. With high quality ingredients and top-notch quality, our food and beverages are already a cut above the average Starbucks latte or Dunkin donut. With the new bookstore, televisions,

furniture and kiosks, we are well established as a unique business with unique experiences to offer. Where else can you sit in a bean bag, charge your phone, work on your laptop and read a book at the same time? The Broadway Café.

Focus 3

Old Business Process – Broadway Café





A - Order and Pay at Kiosk

B – Pick up beverages

C – Pick up food

D – **Cream, sugar, lids**

In the new business model, customers will enter the café directly to the order kiosk, which prevents the confusion of walking across the entire café to order. At this kiosk, customers will be able to order food and beverages while also paying for all their items. No need to order food and beverages separately. You can also pay while you order the food which cuts multiple unnecessary steps. Crossing over from the kiosk to the café bar, you first pick up your beverages which are generally done before food items. After picking up your beverage, right next to you you can pick up your food items. Lastly, at the end of the bar you can grab cream, sugar, lids, condiments, etc. After having your food, beverages and accessories, you are welcome to sit at the bar, round tables or even beanbags. All three lounge areas have charging ports, Wi-Fi and a nice view of the café televisions. Unlike the original business process, you can simply walk in, order and pay, and pick up your items and condiments in one quick and organized flow through the Broadway café.

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